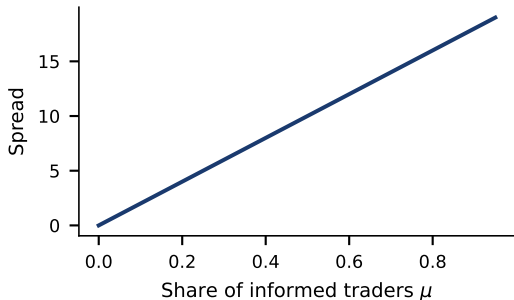
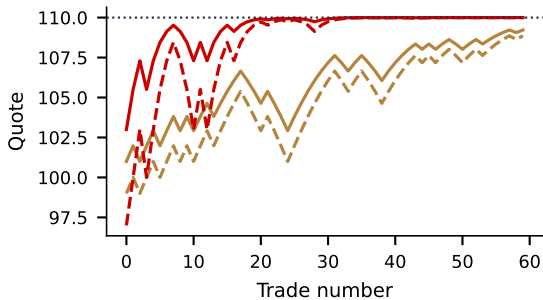


Adverse selection widens the spread



Quotes learn the true value $V = 110$



— Initial spread ask - bid ($V_L = 90, V_H = 110$)
 — Ask, $\mu = 0.1$
- - Bid, $\mu = 0.1$
— Ask, $\mu = 0.3$
- - Bid, $\mu = 0.3$